



**UNITED STATES
NUCLEAR REGULATORY COMMISSION**
WASHINGTON, D.C. 20555-0001

August 12, 2026

Michael Schultheis
Site Vice President,
Palisades Energy, LLC
Palisades Nuclear Plant
27780 Blue Star Memorial Hwy
Covert, MI 49043-9530

**SUBJECT: PALISADES NUCLEAR PLANT – INTEGRATED INSPECTION REPORT
05000255/2026002**

Dear Michael Schultheis:

On June 30, 2026, the U.S. Nuclear Regulatory Commission (NRC) completed an inspection at Palisades Nuclear Plant. On July 7, 2026, the NRC inspectors discussed the results of this inspection with A. Eastridge, Interim General Manager, Plant Operations, and other members of your staff. The results of this inspection are documented in the enclosed report.

One finding of very low safety significance (Green) is documented in this report. This finding involved a violation of NRC requirements. One Severity Level IV violation without an associated finding is documented in this report. We are treating these violations as non-cited violations (NCVs) consistent with Section 2.3.2 of the Enforcement Policy.

Licensee-identified violations which were determined to be of very low safety significance and Severity Level IV are documented in this report. We are treating these violations as NCVs consistent with Section 2.3.2 of the Enforcement Policy.

If you contest the violations or the significance or severity of the violations documented in this inspection report, you should provide a response within 30 days of the date of this inspection report, with the basis for your denial, to the U.S. Nuclear Regulatory Commission, ATTN: Document Control Desk, Washington, DC 20555-0001; with copies to the Regional Administrator, Region III, 2056 Westings Avenue, Suite 400, Naperville, IL 60563; the Director, Division of Reactor Projects; and the NRC Resident Inspector at Palisades Nuclear Plant.

If you disagree with a cross-cutting area assignment in this report, you should provide a response within 30 days of the date of this inspection report, with the basis for your disagreement, to the U.S. Nuclear Regulatory Commission, ATTN: Document Control Desk, Washington, DC 20555-0001; with copies to the Director, Division of Reactor Projects, CNRI, Region III; and the Regional Administrator, Region III; and the NRC Resident Inspector at Palisades Nuclear Plant.

This letter, its enclosure, and your response (if any) will be made available for public inspection and copying at <http://www.nrc.gov/reading-rm/adams.html> and at the NRC Public Document Room in accordance with Title 10 of the *Code of Federal Regulations* 2.390, "Public Inspections, Exemptions, Requests for Withholding."

Sincerely,



Signed by April Nguyen on 08/12/26

April M. Nguyen, Chief
Reactor Projects Branch D
Division of Reactor Projects

Docket No. 05000255
License No. DPR-20

Enclosure:
As stated

cc w/ encl: distribution via digital
communications platform

Letter to Michael Schultheis from April M. Nguyen dated August 12, 2026.

SUBJECT: PALISADES NUCLEAR PLANT – INTEGRATED INSPECTION REPORT
05000255/2026002

DISTRIBUTION:

Eric Stamm
RidsNrrPMPalisades Resource
RidsNrrDlp1Orlb3
RidsNrrDrolrib Resource
Mohammed Shuaibi
Diana Betancourt-Roldan
Deborah Piskura
All-CNRI-R3DRS-Staff
All-CNRI-R3DRP-Staff

ADAMS Accession No.: ML26225A336

PKG: ML26225A334

e-Concurrence Case: 20260811-01819

U.S. NUCLEAR REGULATORY COMMISSION
Inspection Report

Docket Number: 05000255

License Number: DPR-20

Report Number: 05000255/2026002

Enterprise Identifier: I-2026-002-0065

Licensee: Palisades Energy, LLC

Facility: Palisades Nuclear Plant

Location: Covert, MI

Inspection Dates: April 01, 2026, to June 30, 2026

Inspectors: J. Davis, Project Engineer
P. Gresh, Operations Engineer
A. Guieb, Resident Inspector
J. Mancuso, Senior Resident Inspector
V. Myers, Senior Health Physicist
J. Nance, Senior Operations Engineer
T. Okamoto, Resident Inspector
J. Winslow, Senior Project Engineer

Approved By: April M. Nguyen, Chief
Reactor Projects Branch D
Division of Reactor Projects

Enclosure

SUMMARY

The U.S. Nuclear Regulatory Commission (NRC) continued monitoring the licensee's performance by conducting an integrated inspection at Palisades Nuclear Plant, in accordance with the Reactor Oversight Process. The Reactor Oversight Process is the NRC's program for overseeing the safe operation of commercial nuclear power reactors. Refer to <https://www.nrc.gov/reactors/operating/oversight.html> for more information. Licensee-identified non-cited violations are documented in report sections: 71111.20 and 71152A.

List of Findings and Violations

Failure to Provide Work Instructions Appropriate for Work Activities			
Cornerstone	Significance	Cross-Cutting Area	Report Section
Mitigating Systems	Green NCV 05000255/2026002-01 Open/Closed	Human Performance	71152A
The inspectors identified a Green finding and associated non-cited violation (NCV) of Technical Specification Section 5.4.1.a when the licensee failed to provide work instructions appropriate for the work activities. Specifically, in the first example, Work Order (WO) 588976-09 lacked sufficient detail for work near buried utilities. Second, troubleshooting activities were performed on the failed cables without written work instructions.			

Failure to Submit a Licensee Event Report for a Condition that Resulted in an Emergency Diesel Generator Actuation			
Cornerstone	Severity	Cross-Cutting Area	Report Section
Not Applicable	Severity Level IV NCV 05000255/2026002-02 Open/Closed	Not Applicable	71153
An NRC-identified Severity Level IV non-cited violation (NCV) of 10CFR 50.73 (a)(2)(iv)(A) was identified when the licensee failed to submit a licensee event report (LER) within 60 days from the automatic actuation of emergency diesel generator (EDG) 1-2. Specifically, the licensee failed to recognize that the automatic actuation of EDG 1-2 on February 5, 2026, met reportability criteria based on plant conditions. The LER was submitted on May 4, 2026.			

Additional Tracking Items

Type	Issue Number	Title	Report Section	Status
LER	05000255/2026-001-00	LER 2026-001-00 for Palisades Nuclear Plant, Human Performance Error resulted in Emergency Diesel Generator (EDG) 1-2 Actuation	71153	Closed

PLANT STATUS

On August 25, 2025, Palisades notified the NRC that they rescinded their Title 10 of the *Code of Federal Regulations* (10 CFR) 50.82(a)(1) certification, which removed the prohibition on operation and emplacement of fuel in the reactor. Palisades also implemented the set of licensing actions to support reimplementation of their operational licensing basis. On August 25, 2025, the NRC transitioned oversight of Palisades to the Reactor Oversight Process (ROP).

The NRC is conducting inspections to evaluate and assess the licensee's activities for restoration to an operating status. The resident inspectors, as well as supplemental inspectors, continue to provide daily oversight of the restart activities occurring at the site. The unit ended the inspection period in a defueled status.

INSPECTION SCOPES

Inspections were conducted using the appropriate portions of the inspection procedures (IPs) in effect at the beginning of the inspection unless otherwise noted. Currently approved IPs with their attached revision histories are located on the public website at <http://www.nrc.gov/reading-rm/doc-collections/insp-manual/inspection-procedure/index.html>. Samples were declared complete when the IP requirements most appropriate to the inspection activity were met consistent with Inspection Manual Chapter (IMC) 2515, "Light-Water Reactor Inspection Program - Operations Phase." The inspectors performed activities described in IMC 2515, Appendix D, "Plant Status," observed risk-significant activities, and completed on-site portions of IPs. The inspectors reviewed selected procedures and records, observed activities, and interviewed personnel to assess licensee performance and compliance with Commission rules and regulations, license conditions, site procedures, and standards.

REACTOR SAFETY

71111.04 - Equipment Alignment

Partial Walkdown (IP Section 03.01) (2 Samples)

The inspectors evaluated system configurations during partial walkdowns of the following systems/trains:

- (1) alternative spent fuel pool cooling system on April 7, 2026
- (2) component cooling water system following maintenance work window on May 5, 2026

Complete Walkdown (IP Section 03.02) (1 Sample)

The inspectors evaluated system configurations during a complete walkdown of the following systems:

- (1) critical service water system on April 30, 2026

71111.05 - Fire Protection

Fire Area Walkdown and Inspection (IP Section 03.01) (4 Samples)

The inspectors evaluated the implementation of the fire protection program by conducting a walkdown and performing a review to verify program compliance, equipment functionality, material condition, and operational readiness of the following fire areas:

- (1) pre fire plan 28: west engineered safeguards room, elevation 570', on April 1, 2026
- (2) pre fire plan 9: screenhouse/intake structure, elevation 590', on April 28, 2026
- (3) pre fire plan 59: P-8D auxiliary feedwater pump enclosure on May 8, 2026
- (4) pre fire plan 2: cable spreading room on June 11, 2026

71111.06 - Flood Protection Measures

Flooding Sample (IP Section 03.01) (1 Partial)

- (1) (Partial)
The inspectors evaluated flooding mitigation protections in the manhole 4 cabling to the 1C switchgear room sumps on May 6, 2026.

71111.07A - Heat Exchanger/Sink Performance

Annual Review (IP Section 03.01) (1 Sample)

The inspectors evaluated readiness and performance of:

- (1) VHX-1 and VHX-3 containment air coolers on April 21, 2026

71111.11A - Licensed Operator Requalification Program and Licensed Operator Performance

Requalification Examination Results (IP Section 03.03) (1 Sample)

- (1) The inspectors reviewed and evaluated the licensed operator examination failure rates for the requalification annual operating exam and the biennial written examinations completed on May 1, 2026.

71111.11B - Licensed Operator Requalification Program and Licensed Operator Performance

Licensed Operator Requalification Program (IP Section 03.04) (1 Sample)

- (1) Biennial Requalification Written Examinations

The inspectors evaluated the quality of the licensed operator biennial requalification written examination administered on April 17, 2026.

Annual Requalification Operating Tests

The inspectors evaluated the adequacy of the facility licensee's annual requalification operating test.

Administration of an Annual Requalification Operating Test

The inspectors evaluated the effectiveness of the facility licensee in administering requalification operating tests required by 10 CFR 55.59(a)(2) and that the facility licensee is effectively evaluating their licensed operators for mastery of training objectives.

Requalification Examination Security

The inspectors evaluated the ability of the facility licensee to safeguard examination material, such that the examination is not compromised.

Remedial Training and Re-examinations

The inspectors evaluated the effectiveness of remedial training conducted by the licensee, and reviewed the adequacy of re-examinations for licensed operators who did not pass a required requalification examination.

Operator License Conditions

The inspectors evaluated the licensee's program for ensuring that licensed operators meet the conditions of their licenses.

Control Room Simulator

The inspectors evaluated the adequacy of the facility licensee's control room simulator in modeling the actual plant, and for meeting the requirements contained in 10 CFR 55.46.

71111.11Q - Licensed Operator Requalification Program and Licensed Operator Performance

Licensed Operator Requalification Training/Examinations (IP Section 03.02) (1 Sample)

- (1) The inspectors observed and evaluated licensed operator requalification training on June 17, 2026.

71111.13 - Maintenance Risk Assessments and Emergent Work Control

Risk Assessment and Management (IP Section 03.01) (3 Samples)

The inspectors evaluated the accuracy and completeness of risk assessments for the following planned and emergent work activities to ensure configuration changes and appropriate work controls were addressed:

- (1) work management risk during service water and component cooling water system outage on April 28, 2026
- (2) work management risk for 1C vital bus outage during the weeks of May 15, 2026, and May 27, 2026
- (3) emergent work for station power transformer breaker 252-101 after loss of 4160V bus 1A on June 9, 2026

71111.15 - Operability Determinations and Functionality Assessments

Operability Determination or Functionality Assessment (IP Section 03.01) (1 Sample 1 Partial)

The inspectors evaluated the licensee's justifications and actions associated with the following operability determinations and functionality assessments:

- (1) Condition Report (CR) 25014409; Wall Thickness Below General Acceptance Criteria on JBD-21-24, on June 10, 2026
- (2) (Partial)
FCR 94065/93779; Acceptance for Functionality of Instrument Air: Various Changes Related to Mechanical, Electrical, and I&C in Engineering Change (EC) 93378, on June 2, 2026

71111.18 - Plant Modifications

Temporary Modifications and/or Permanent Modifications (IP Section 03.01 and/or 03.02) (2 Samples)

The inspectors evaluated the following temporary or permanent modifications:

- (1) EC-93378; permanent modification of the instrument air system on May 20, 2026
- (2) EC-94022; permanent modification of P-8B turbine driven auxiliary feed pump overspeed trip bearing assembly on June 1, 2026

71111.20 - Refueling and Other Outage Activities

Refueling/Other Outage Sample (IP Section 03.01) (1 Partial)

- (1) (Partial)
The inspectors evaluated restart outage activities from April 1, 2026, to June 30, 2026.

71111.24 - Testing and Maintenance of Equipment Important to Risk

The inspectors evaluated the following testing and maintenance activities to verify system operability and/or functionality:

Post-Maintenance Testing (PMT) (IP Section 03.01) (5 Samples 1 Partial)

- (1) RT-85D; Control Room Emergency Ventilation Filtration Test - B Train following filter replacement on VC-10 CRHVAC on April 2, 2026
- (2) emergency diesel generator 1-2 post maintenance run following jacket cooling water heat exchanger tube replacement on April 12, 2026
- (3) alternate spent fuel pool cooling permanent modification load cycle testing for first-time use on May 5, 2026
- (4) instrument air system permanent modification testing for first-time use on May 20, 2026
- (5) testing after replacement of RV-0401, RV-0402, and RV-0403, shutdown cooling relief valves on May 19, 2026

- (6) (Partial)
RO-146; Comprehensive Pump Test Procedure - Component Cooling Water (CCW)
Pump P-52B, following CCW system maintenance window on June 9, 2026

Surveillance Testing (IP Section 03.01) (2 Samples)

- (1) MO-7A-1; 1-1 Emergency Diesel Generator Monthly Surveillance Run on
April 6, 2026
- (2) FE-5B; Modified Performance Test - Battery No. ED-2, on April 19, 2026

Containment Isolation Valve (CIV) Testing (IP Section 03.01) (1 Sample)

- (1) RO-32; Local Leak Rate Testing for Penetrations MZ-15, Component Cooling Water
Outlet, MZ-42, Demineralized Water to Quench Tank, and MZ-67, Clean Waster
Receiver Tank Pump Recirculation, on May 18, 2026

71114.06 - Drill Evaluation

Required Emergency Preparedness Drill (1 Sample)

- (1) emergency plan training exercise simulating a steam generator tube rupture and
reactor trip leading to an alert declaration on June 17, 2026

RADIATION SAFETY

71124.08 - Radioactive Solid Waste Processing & Radioactive Material Handling, Storage, & Transportation

Radioactive Material Storage (IP Section 03.01) (1 Sample)

The inspectors evaluated the licensee's performance in controlling, labeling and securing the following radioactive materials:

- (1) radioactive material stored at the east radioactive waste facility

Radioactive Waste System Walkdown (IP Section 03.02) (1 Sample)

The inspectors walked down the following accessible portions of the solid radioactive waste systems and evaluated system configuration and functionality:

- (1) advanced liquid processing system

Waste Characterization and Classification (IP Section 03.03) (2 Samples)

The inspectors evaluated the following characterization and classification of radioactive waste:

- (1) advanced liquid processing system resin characterization for shipment 2026-RW-002
- (2) dry active waste characterization used for shipments 2026-RW-014
and 2026-RM-004

Shipping Records (IP Section 03.05) (3 Samples)

The inspectors evaluated the following non-excepted radioactive material shipments through a record review:

- (1) Shipment 2026-RW-002; LSA-II, resin
- (2) Shipment 2026-RW-014; LSA-II, dry active waste
- (3) Shipment 2026-RM-004; SCO-II, contaminated equipment

OTHER ACTIVITIES – BASELINE

71152A - Annual Follow-up Problem Identification and Resolution

Annual Follow-up of Selected Issues (IP Section 03.03) (4 Samples)

The inspectors reviewed the licensee's implementation of its corrective action program related to the following issues:

- (1) Root Cause Evaluation for CR 25012715, RP Waste Shipment Exceeded DOT Limits
- (2) water intrusion in the instrument air system
- (3) CR 26011187; Rear and Safeguards Bus Lost when Control Cables were Hit, and CR 26011372, Testing Activities Result in Trip of Emergency Diesel Generator
- (4) CR 26013325; Need to update 2 operator licenses, and CR 26014029, Failure to report changing medical conditions

71153 - Follow-Up of Events and Notices of Enforcement Discretion

Event Report (IP Section 03.02) (1 Sample)

The inspectors evaluated the following licensee event reports (LERs):

- (1) LER 05000255/2026-001-00; Human Performance Error Resulted in Emergency Diesel Generator (EDG) 1-2 Actuation (ADAMS Accession No. [ML26124A222](#))

The inspectors reviewed this LER and two apparent cause analyses associated with this event. The inspectors' conclusions are documented in this report under Inspection Results Section 71152A. Previously, the inspectors review of personnel performance associated with circumstances surrounding this LER was documented in Inspection Report 05000255/2026001, Section 71153. This LER is Closed.

OTHER ACTIVITIES – TEMPORARY INSTRUCTIONS, INFREQUENT AND ABNORMAL

71152 - Problem Identification and Resolution (PI&R)

During the inspection period, the inspectors continued reviews of Phases I and II of the licensee's system return to service (SRTS) plans and associated topics. The SRTS plans document licensee activities to verify that the configuration and condition of systems, structures, and components (SSCs) are consistent with the design and licensing bases to support potential restart. The inspectors reviewed Phases I and II of the SRTS plans, which include areas such as licensing and design-basis functions, system material conditions, reviewing open and deferred work prior to shutdown, and program applicability. The inspectors conducted these

reviews using IP 71152, "Problem Identification and Resolution," and IP 71111.21M, "Comprehensive Engineering Team Inspection (CETI)," as applicable.

The inspectors completed reviews of the SRTS plans for the following topics:

Problem Identification and Resolution (PI&R)

- buildings and grounds
- chemical addition
- datalogger
- main feedwater
- turbine electro-hydraulic controls
- reactor protection system

INSPECTION RESULTS

Licensee-Identified Non-Cited Violation	71111.20
This violation of very low safety significance was identified by the licensee and has been entered into the licensee corrective action program and is being treated as a non-cited violation, consistent with Section 2.3.2 of the Enforcement Policy.	
Violation: Title 10 of the <i>Code of Federal Regulations</i> (CFR) Part 26, "Fitness for Duty Programs," Subpart 205, "Work Hours," requires, in part, that licensees shall control work hours so an individual's hours worked do not exceed 16 hours in any 24-hour period, 26 hours in any 48-hour period, and 72 hours in any 7-day period. Additionally, it requires, in part, that licensees shall ensure that individuals have, at a minimum, a 34-hour break in any 9-day period. Contrary to the above, between March 28, 2026, and April 3, 2026, the licensee failed to ensure that individuals subject to the requirements of 10 CFR Part 26 complied with the work hour limitations and scheduling restrictions of Part 26. Specifically, the licensee failed to adequately schedule and control the work hours of 3 individuals performing work covered by the restrictions of 10 CFR Part 26 by not ensuring that the individuals' work hours did not exceed 72 hours in any 7-day period. Additionally, the licensee failed to ensure that the same individuals received at least a 34-hour break in any 9-day period. Significance/Severity: Green. The inspectors assessed the significance of the finding using IMC 0609 Appendix A, "The Significance Determination Process (SDP) for Findings At-Power." Using Exhibit 2, "Mitigating Systems Screening Questions," of IMC 0609 Appendix A, Section A, the inspectors answered "No" to all of the questions, screening the finding to Green, as the work completed by the three individuals was verified by individuals who did meet the requirements of the Part 26 work hours restrictions, ensuring that the equipment maintained either its operability or functionality. Corrective Action References: CR 26013546, Fatigue Rule Violation	

Assessment	71152A
RP Waste Shipment Exceeded DOT Limits On September 23, 2025, the licensee transported radioactive waste off-site as exclusive use shipment 2025-RW-017. On September 24, 2025, the Radiation Protection (RP) Shipping Specialist recognized that the shipment was sent with dose rates exceeding Department of Transportation (DOT) regulations in 49 CFR 173.441. When recognized, the licensee had the truck return to the site, which arrived on September 25, 2026. This issue was reviewed by the inspectors, and a Green Licensee-Identified non-cited violation was documented in Inspection Report 05000255/2025005, Section 71124.08. The licensee also performed a root cause evaluation for this issue. The inspectors reviewed the root cause evaluation, corrective actions taken and planned, and effectiveness reviews of corrective actions completed and planned. The licensee identified the root cause to be associated with the radiological shipping process which lacked clear guidance where it allowed the same individuals that performed required surveys and the individuals who prepared the shipping paperwork to also review and approve the shipment documentation without independent verification of administrative dose limits. This gap created conditions where human error went undetected. The corrective action to preclude repetition was to revise licensee procedure RP-412, Radioactive Shipping, to require an independent review of the shipping checklist to ensure compliance with all applicable requirements. The inspectors independently reviewed the causal analysis process, corrective actions (including revisions to RP-412), shipments completed after corrective actions were implemented, and effectiveness reviews of corrective actions completed. During the review of corrective actions, the inspectors questioned the due date extension of a corrective action to preclude repetition without Management Review Committee (MRC) Chair approval, which is contrary to PI-001, Corrective Action Program, section 7.5.3.c.4. It was also determined that four additional corrective actions had their due dates extended without a basis for why the extension is acceptable, necessary, and the risk of extending the action in the request. This issue was documented in the corrective action program as CR 25015623, NRC ID: Improper Extension of Adverse CR Actions. The inspectors determined that this was a minor performance deficiency of PI-001. No violations were identified.	

Failure to Provide Work Instructions Appropriate for Work Activities			
Cornerstone	Significance	Cross-Cutting Area	Report Section
Mitigating Systems	Green NCV 05000255/2026002-01 Open/Closed	Human Performance	71152A
The inspectors identified a Green finding and associated non-cited violation (NCV) of Technical Specification Section 5.4.1.a when the licensee failed to provide work instructions appropriate for the work activities. Specifically, in the first example, Work Order (WO) 588976-09 lacked sufficient detail for work near buried utilities. Second, troubleshooting activities were performed on the failed cables without written work instructions.			

Description:

On February 5, 2026, horizontal directional drilling (HDD) was being performed on site in support of the fiber backbone project. The HDD was being performed by three different vendors supporting the work. One vendor performed overall job oversight, another vendor performed the HDD, and a third vendor performed ground-penetrating radar (GPR) activities to support the HDD.

Due to recent snowfall, the GPR was unable to be effectively performed and the vendor technician utilized a less reliable radio detector in order to support identification of any underground interferences. The radio detector did not identify underground interferences, cables, in the areas scanned. The HDD vendor proceeded with HDD and during the pullback, the reamer attached to three previously unidentified underground cables, severing two and stretching one. At 13:07, the site lost power to the switchyard rear bus and class 1E safeguards bus. Emergency Diesel Generator (EDG) 1-2 automatically started, as expected, due to the loss of the safeguards bus, to power in-plant class 1E bus 1D. Work was immediately halted.

Subsequently, during troubleshooting activities to identify the underground cables impacted, EDG 1-2 unexpectedly cycled three times. The cause of the cycling was unknown to operators and EDG 1-2 was secured. It was determined that a signal transmitting device had been connected to the damaged cables in order to locate the cable electrical flow-path using a receiver. The device emitted a 50 VDC/50 Hz signal that was introduced into plant control circuitry and caused the cycling of EDG 1-2.

The licensee performed two apparent cause evaluations (ACEs) for this event. In both ACEs, the licensee identified issues with work instructions or troubleshooting governance and insufficient field oversight during the work activity that resulted in 1) the damage to three previously unidentified underground cables during HDD that caused the loss of power to the switchyard rear bus and class 1E safeguards bus resulting in the automatic actuation of EDG 1-2, and 2) the cycling of EDG 1-2 due to a signal transmitting device that was introduced into the plant control circuitry during unauthorized troubleshooting of the damaged cables.

This issue was also reviewed using Inspection Procedure 71153, "Follow up of Events and Notices of Enforcement Discretion," and was reported in Licensee Event Report (LER) 05000255/2026-001-00, "Human Performance Error Resulted in Emergency Diesel Generator (EDG) 1-2 Actuation" (ADAMS Accession No. [ML26124A222](#)).

Corrective Actions: The licensee entered AOP-9, Loss of D Bus, for this issue and all drilling activities were stopped. The licensee completed two ACEs to investigate the causes for the damage to the cables and unapproved troubleshooting activities. They subsequently performed repair activities to the damaged cables after troubleshooting was completed. In addition, the site developed a return to work plan for additional activities associated with the fiber backbone project.

Corrective Action References: CR 26011187 and CR 26011372

Performance Assessment:

Performance Deficiency: The licensee had two examples of failure to provide work instructions appropriate for the work activities for the same event. In the first example, the

licensee failed to ensure information generated in the engineering change and advanced work authorization were incorporated into the work order task used for directional drilling activities and to ensure the work instructions had sufficient detail for work in the area where there were known buried utilities. Specifically, the work order task for HDD did not provide appropriate detail for personnel performing the tasks to understand the risk commensurate with the work being performed. Second, the licensee failed to ensure appropriate work control or troubleshooting governance was provided to perform troubleshooting activities to identify the underground cables impacted during HDD activities, causing EDG 1-2 to unexpectedly cycle during operation.

Screening and Significance: The inspectors assessed the significance of the finding using IMC 0609 Appendix A, "The Significance Determination Process (SDP) for Findings At-Power." The inspectors used IMC 0609.04, "Initial Characterization of Findings," and IMC 0609 Appendix A, Exhibit 2, "Mitigating Systems Screening Questions." The finding was determined to be of very low safety significance (Green) after questions for "Mitigating SSCs and PRA Functionality" were answered as "No."

Cross-Cutting Area: Human Performance The licensee did not ensure that the work process included the identification and management of risk commensurate to the work and the need for coordination with different groups. Specifically, in the first example, the licensee did not ensure that risk was managed commensurate with the work when the work package lacked sufficient detail and clear directions for work near buried utilities. Second, the vendor team perceived permission to move forward with troubleshooting without written work instructions and had an inadequate risk perception of the troubleshooting activity.

Enforcement:

Violation: Technical Specification Section 5.4.1.a requires, in part, that written procedures shall be established, implemented, and maintained covering the applicable procedures recommended in Regulatory Guide 1.33, Revision 2, Appendix A, February 1978. NRC Regulatory Guide 1.33, Revision 2, Appendix A, Section 9 addresses "Procedures for Performing Maintenance," and Section 9.a states, in part, that maintenance that can affect the performance of safety-related equipment should be properly pre-planned and performed in accordance with written procedures, documented instructions, or drawings appropriate to the circumstances.

Contrary to the above, on February 5, 2026, the licensee failed to provide work instructions appropriate for required work activities. Specifically, in the first example, WO 588976-09 lacked sufficient detail for work near buried utilities. Second, troubleshooting activities were performed on the failed cables without written work instructions.

Enforcement Action: This violation is being treated as a non-cited violation, consistent with Section 2.3.2 of the Enforcement Policy.

Licensee-Identified Non-Cited Violation

71152A

This violation of very low safety significance was identified by the licensee and has been entered into the licensee corrective action program and is being treated as a non-cited violation, consistent with Section 2.3.2 of the Enforcement Policy.

Violation:

Title 10 of the *Code of Federal Regulations* (10 CFR) 55.25 requires that if, during the term of the license, the licensed reactor operator or senior reactor operator develops a permanent physical or mental condition that causes the licensee to fail to meet the requirements of 10 CFR 55.21, the facility shall notify the Commission within 30 days of learning of the diagnoses, in accordance with 10 CFR 50.74(c). For conditions for which a conditional license (as described in 10 CFR 55.33(b)) where a license condition is requested, the facility licensee shall provide medical certification on Form NRC 396, "Certification of Medical Examination by Facility Licensee" (as described in 10 CFR 55.23).

Contrary to the above, the facility licensee failed to notify the Commission within 30 days of the diagnoses of changes in medical conditions on three separate occasions for licensed operators that developed permanent physical conditions which caused the licensed operators to fail to meet the requirements of 10 CFR 55.21. Specifically, on March 31, 2025, a license class applicant informed the facility's medical examiner that he was taking prescribed medication. When the medical examiner completed the physical examination report to the facility, the condition for the prescribed medication was not reported and the medical examiner recommended that no conditions be placed on the license when issued. Once licensed, the senior operator continued to take the medication as prescribed when performing licensed duties. The licensed operator was later evaluated by the medical examiner as no longer requiring the medication and the prescription was discontinued. As the operator no longer was prescribed medication, the facility licensee determined that the operator license was correct (no restrictions) and no report was now required.

Subsequently, on January 20, 2026, and on February 12, 2026, during biennial license physical examinations the designated medical examiner determined that two licensed operators did not meet the near vision requirement in ANSI/ANS-3.4-1983, "Medical Certification and Monitoring of Personnel Requiring Operator Licenses for Nuclear Power Plants." The two licensed operators were administratively restricted from performing licensed duties until they received and wore their prescription lenses.

On April 1, 2026, the facility licensee identified that the NRC had not been notified, via Form 396, "Certification of Medical Examination by Facility Licensee," about the permanent change in the two licensed operators' vision and their need for prescription lenses to maintain their medical qualifications for their operator licenses. As noted, the facility did not determine that the missed "take medication as prescribed" license condition for the licensed operator in the first example must also be reported. The NRC was notified of the other two operators' conditions in a letter dated April 2, 2026, with the revised NRC Form 396s sent to the NRC on April 13, 2026.

The inspectors verified that the licensed operators did not perform licensed duties from the time their changes in medical condition were identified until they received and wore their prescription lenses. The inspectors also verified that the three licensed operators did not commit any errors or been involved in any operational mishaps while performing licensed duties from the time they received and wore their prescription lenses until the NRC was notified and received the individuals updated NRC Form 396s with their lenses restriction.

Significance/Severity: Severity Level IV. The inspectors determined the violation to be a Severity Level IV violation similar to Example 6.9.d.9 in the NRC Enforcement Policy.

Specifically, the licensee failed to make a report required by 10 CFR 50.74(c) to inform the NRC of changes in operators' medical conditions. In addition, the individuals adhered to the ANSI 3.4 requirements to mitigate the changes in their medical conditions while performing licensed duties.

Corrective Action References: CR 26013325 and CR 26014029

Observation: Extent of Condition for Water Intrusion in Instrument Air System

71152A

On March 13, 2026, the licensee initiated CR 26012619, CV-3025 Not Operating as Expected, documenting that water was found in the air line of the shutdown cooling heat exchanger E-60A/B outlet valve, CV-3025. As part of the corrective actions, the licensee performed additional investigation and found water in the upstream air filter and drain lines of CV-3025. The licensee then identified that the instrument air system (IAS) temporary modification dryer status indicator lights and panel had no power and were not in service. They generated CR 26012629, Temporary Instrument Air Dryer Lost Power, and CR 26012630, Temporary IAS Compressor Dryer Lost Power. The licensee noted it was unknown how long the dryer was out of service.

One of the suggested actions for CR 26012629 was to perform an extent of condition review; however, the CR completion notes stated the extent of condition was addressed by CR 26012619. The inspectors reviewed CR 26012619 and did not identify any extent of condition actions that addressed potential water intrusion into the IAS as a whole, as the actions in CR 26012619 were focused specifically on CV-3025.

The inspectors reviewed the CRs relating to the water intrusion, site procedures, and the failure mode analysis for the event. The inspectors then followed up with the licensee to inquire about extent of condition for all of the IAS. The actions included selecting a sample of the system's valves and evaluating those for potential water intrusion. Also, system venting and draining was performed to remove excess water. However, the inspectors identified that the valves selected were focused on low points in the system and were related to the ongoing passivation activity at the time. During discussions between the inspectors and the licensee staff, another CR was generated, CR 26015169, Air Operated Valves Identified for Inspection of Moisture Intrusion in Air Lines, which recommended internal inspections of air regulators on safety-related IAS valves to look for water/moisture. This CR provided additional scope beyond the previous CR's more focused actions.

The inspectors identified a lack of conservative bias in the actions taken during the original extent of condition review in CR 26012619. The licensee addressed this concern in CR 26015169, which focused on instrument air as a whole system, whereas CR 26012619 was focused only on CV-3025. No findings or violations of significance were identified during this review.

Observation: Rear and Safeguards Bus Lost when Control Cables were Damaged

71152A

On February 5, 2026, the licensee was performing horizontal directional drilling (HDD) on-site when the reamer attached to three previously unidentified underground cables, resulting in damage to the cables and a loss of power to the switchyard rear bus and safeguards bus. Emergency Diesel Generator (EDG) 1-2 automatically started, as expected, due to the loss of the safeguards bus, to power in-plant safety-related loads. Subsequently, during

troubleshooting activities to identify the cables impacted, a signal transmitting device was connected to the damaged cables in order to locate the cable electrical flow-path, which resulted in unexpected cycling of EDG 1-2.

The licensee performed two adverse condition evaluations (ACEs) for this event. In both ACEs, the licensee identified issues with work instructions or troubleshooting governance and insufficient field oversight during the work activities that resulted in 1) the damage to three previously unidentified underground cables during HDD that caused the loss of power to the rear bus and safeguards bus and the automatic actuation of EDG 1-2, and 2) the cycling of EDG 1-2 due to a signal transmitting device that was introduced into the plant control circuitry during unauthorized troubleshooting of the damaged cables.

The inspectors independently reviewed the causal analysis process and corrective actions (CAs) taken. During review of corrective actions that had a status as complete, the inspectors questioned if the information in the completed CAs met the requirements of PI-001, Section 7.5.5.f.8, which discussed that ensuring electronic copies of any documents needed to understand, clarify, or validate completion of CA response is either attached to the response or verified to exist in a quality-controlled records location for future retrieval. Specifically, the inspectors questioned if information attached to the responses of CAs 26011187-06 and 26011187-13 met the requirements of PI-001. After discussion with Performance Improvement personnel, the inspectors understood that the licensee determined the requirements of CA closure were not met and took action to address the identified gap. However, the required closure reviews of the completed CAs had not yet been completed and would likely have identified the issues. The licensee recently identified issues in timely closure reviews of CRs during a self-assessment and have planned corrective actions to address these issues. Associated identified performance deficiencies were documented under IP 71152A.

Failure to Submit a Licensee Event Report for a Condition that Resulted in an Emergency Diesel Generator Actuation

Cornerstone	Severity	Cross-Cutting Area	Report Section
Not Applicable	Severity Level IV NCV 05000255/2026002-02 Open/Closed	Not Applicable	71153

An NRC-identified Severity Level IV non-cited violation (NCV) of 10 CFR 50.73 (a)(2)(iv)(A) was identified when the licensee failed to submit a licensee event report (LER) within 60 days from the automatic actuation of emergency diesel generator (EDG) 1-2. Specifically, the licensee failed to recognize that the automatic actuation of EDG 1-2 on February 5, 2026, met reportability criteria based on plant conditions. The LER was submitted on May 4, 2026.

Description:

On February 5, 2026, directional drilling activities were being performed along the south side of the access road to support the Fiber Backbone Project. During drill pullback, the reamer contacted three previously unidentified underground cables, severing two and stretching one. As a result, safeguards bus 1D was deenergized as it was powered from the 345kV rear bus through Startup Transformer 1-2. EDG 1-2 automatically started and loaded onto safeguards bus 1D as expected when the safeguards bus 1D was deenergized. The operators entered AOP-9 for loss of safeguards bus 1D. During subsequent excavation and vacuuming activities

to expose the damaged cables, the operators observed perturbations of EDG 1-2 and secured the EDG.

Corrective Actions: The licensee entered the issue into their corrective action program as CR 26014273, and submitted LER 05000255/2026-001-00, Emergency Diesel Generator 1-2 Actuation, on May 4, 2026.

Corrective Action References: CR 26014273, Missed 10 CFR 50.73 NRC Notification

Performance Assessment:

The inspectors determined this violation was associated with a minor performance deficiency. Specifically, the licensee failed to submit an LER within 60 days after the discovery of a reportable event, contrary to licensee procedure RA-108, and 10 CFR 50.73(a)(2)(iv)(A).

Enforcement:

The ROP's significance determination process does not specifically consider the regulatory process impact in its assessment of licensee performance. Therefore, it is necessary to address this violation which impedes the NRC's ability to regulate using traditional enforcement to adequately deter non-compliance.

Severity: The inspectors determined this violation was Severity Level IV in accordance with example 6.9.d.9 of the NRC Enforcement Policy because the licensee failed to submit an LER within the required timeframe in accordance with 10 CFR 50.73.

Violation: Title 10 CFR 50.73(a)(1) requires, in part, that a licensee shall submit an LER for any event of the type described in this paragraph within 60 days after the discovery of the event.

Title 10 CFR 50.73(a)(2)(iv)(A) requires, in part, that the licensee shall report any event or condition that resulted in manual or automatic initiation of any of the systems listed in paragraph (a)(2)(iv)(B).

Title 10 CFR 50.73(a)(2)(iv)(B)(8) requires, in part, that the systems to which the requirements of paragraph (a)(2)(iv)(A) of this section apply are emergency ac electrical power systems, including emergency diesel generators (EDGs).

Contrary to the above, the licensee failed to submit an LER within 60 days of discovery of an event or condition that resulted in the automatic initiation of EDG 1-2. Specifically, on February 5, 2026, during directional drilling activities, underground control cables were severed and stretched which resulted in the loss of power supplied from the rear and safeguards buses and prompting a start of EDG 1-2. This event represented a condition that was reportable under 10 CFR 50.73.

Enforcement Action: This violation is being treated as a non-cited violation, consistent with Section 2.3.2 of the Enforcement Policy.

EXIT MEETINGS AND DEBRIEFS

The inspectors verified no proprietary information was retained or documented in this report.

- On July 7, 2026, the inspectors presented the integrated inspection results to A. Eastridge, Interim General Manager, Plant Operations, and other members of the licensee staff.

DOCUMENTS REVIEWED

Inspection Procedure	Type	Designation	Description or Title	Revision or Date
71111.04	Procedures	SOP-15	Service Water System	73
		SOP-16	Component Cooling Water System	50
		SOP-27	Fuel Pool System	78
71111.05	Calculations	EA-PSA-805-FRE-10-3	Fire PRA Quantification for NFPA 805 Transition Fire Risk Evaluation	0
	Corrective Action Documents	25002215	Unexpected Loss of P-8D Fire Detection	05/06/2024
		25004579	12/2024 - 2025 Engineering General Actions	12/17/2024
		26015830	Loss of Battery Room Ventilation V-15B Tripped. V-15A Insufficient Flow	06/08/2026
	Drawings	C-853 Sheet No. 1	Detail Plan - Area G	4
	Fire Plans	PFP	Pre Fire Plan	6
	Procedures	DBD-7.10-DP	Design Basis Document for NFPA 805 Fire Protection Program	0
		ENG-329	Control of Combustibles	2
		OPS-139	Fire Watch Program	0
71111.07A	Miscellaneous	PLP-SRTSP-CRS	Containment Air Coolers System	0
	NDE Reports	Eddy Current Report	Unit 1 CAC-VHX-1	April 2026
	Procedures	DBD 2.08	Design Basis Document Containment Air Coolers	5
71111.13	Corrective Action Documents	26014299	MV-SW0880, CAC VHX-2 SW INLET DRAIN, is Leaking By	04/27/2026
		26014696	Observed Insulators Standing on P-7C Basket Strainer When Protected	05/08/2026
		26015885	Loss of Power to 4160V Bus 1A	06/09/2026
		26016024	A Bus Trip Inspection for Aux Breaker Cubicle	06/11/2026
		26016030	Alpha Bus Trip Inspection Results for 252-101 Station Power 1-1 Incoming	06/11/2026
		26016031	A Bus Trip Inspection Results for Start-Up 1-1 Transformer Breaker Back Cubicle	06/11/2026
		26016032	Alpha Bus Trip Inspection Results for 252-106 LC-17 Feeder	06/11/2026
71111.15	Corrective Action Documents	25014409	Wall Thickness Below General Acceptance Criteria on JBD-21-24	11/14/2025

Inspection Procedure	Type	Designation	Description or Title	Revision or Date
	Engineering Changes	93779	FCR For Various Changes Relating to Mechanical, Electrical, and I&C in EC 93378	0
	Engineering Evaluations	93986	Pipe Wall Thinning Structural Evaluation of Service Water Line	1
71111.18	Corrective Action Documents	26010971	Currently installed K-8 AFP Turbine Trip Body Does Not Have Approved EC	01/29/2026
		26014989	New Instrument Air Compressors	05/17/2026
		26015025	Compressor 2C Electrical Issues	05/18/2026
		26015037	IA INSTALLATION BEFORE FCR APPROVAL	05/18/2026
	Engineering Changes	93513	CHILD EC 1 – IA DRYER REPLACEMENT	0
		93514	CHILD EC 3 – IA COMPRESSOR C-2A REPLACEMENT	05/20/2026
		93515	CHILD EC 2 – IA COMPRESSOR C-2C REPLACEMENT	0
		93516	CHILD EC 4 – IA COMPRESSOR C-2B REPLACEMENT	0
		94022	K-8, 'Auxiliary Feed Pump P-8B Turbine Driver' Replace the U-Lock Staple with New Design as Recommended by the Vendor (Background EC 65746)	0
	Miscellaneous	DBD-1.05	Design Basis Document for Compressed Air Systems	6
71111.24	Corrective Action Documents	25014224	K-6B Jacket Water Leak	11/13/2025
		25015553	LLRT for Demin Water to the Quench Tank Leakage is Greater than the 2000 SCCM	12/26/2025
		26013735	K-6B, EDG 1-2 Jacket Water Leak Not Fixed During Recent K-6B Outage	04/13/2026
		26013896	AOP-26 Entry	04/16/2026
		26013899	Aggreko Equipment with Electrical Issue	04/16/2026
		26015059	RO-32-15 Editorial Changes	05/19/2026
		26015071	Failed PMT on CV-0911	05/19/2026
		26015211	Damaged M-2A & M-2B Dryer Instrument Connectors	05/21/2026
		26015255	Post Modification Testing Discovered New Instrument Air Compressors Take 24 Secs	05/22/2026
		26015293	RO-32-67 Leakrate Above Troubleshooting Leakage Guideline	05/24/2026
		26015325	Dryer M-2A & M-2B Discharge Check Valve Chatter	05/26/2026
		26015346	Local Leak Rate Test for Penetration MZ-41 would not	05/27/2026

Inspection Procedure	Type	Designation	Description or Title	Revision or Date
			Pressurize	
	Corrective Action Documents Resulting from Inspection	26015166	RO-32-42 Exceeded Administrative Limit Cause Determination	05/20/2026
	Engineering Changes	93369	ALTERNATE COMPONENT COOLING WATER CONNECTIONS TO THE SFP HEAT EXCHANGER E-53A / E-53B	0
	Procedures	ENG-353	Primary Containment Leakage Rate Testing (10 CFR 50 Appendix J) Program Plan	0
		MO-7A-2	Emergency Diesel Generator 1-2	103
		RO-146	Comprehensive Pump Test Procedure - Component Cooling Water Pumps P-52A, P-52B, and P-52C	13
		RO-32	LLRT - Local Leak Rate Test Main Procedure	35
		RO-32-15	LLRT - Local Leak Rate Test Procedure for Penetration MZ-15	27
		RT-85D-B	Control Room Emergency Ventilation Filtration Testing - B Train	5
	Work Orders	00587277-02	RV-0401, Test/Repair New Valve	04/28/2026
		00587277-03	RV-0401, Remove and Install Tested Valve	05/18/2026
		00587278-02	RV-0402, Test New Valve	05/07/2026
		00587279-02	RV-0403, Test New Valve	05/08/2026
		00587877-01	PLACE SFP COOLING HX ALTERNATE COOLING MOD IN SERVICE PER EC93370	04/06/2026
		00602141-01	MO-7A-2 EMERGENCY DIESEL GENERATOR 1-2 (K-6B)	04/10/2026
		00603179-03	E-22B; (OPS & NDE) PMT IN CONJUNCTION WITH VT-2	04/10/2026
		00604706	CV-0911 Test Volume Could Not Be Pressurized During RO-32-15	05/19/2026
		00604893	CV-0155 LLRT Failure Refurb Valve & Actuator	03/10/2026
		52961371-01	VFH-26B HEPA FILTER REPLACEMENT	12/23/2025
		52961371-02	VHF-26B, PMT: TEST PER RT-85D	03/23/2026
		52994201	RO-32-42 -MZ-42, Demineralized Wtr to Quench Tk	02/03/2026
		582088-05	ED-02; Perform FE-5B Performance Test on ED-02 Battery	04/19/2026
		587438-27	DRYER TEST-ECT- 93513-01 OR -02 FOR M-2A & M-2B	05/27/2026

Inspection Procedure	Type	Designation	Description or Title	Revision or Date
			DRYERS	
		588700-03	EC93516 - ECT-93516-02 LEAD/LAG TESTING FOR C-2A/C-2B/C-2C	05/21/2026
		590187	QE-35B, ED-02, Battery Checks - Quarterly	04/18/2026
71114.06	Procedures	OPS-134	Palisades Nuclear Power Station Operations Notifications	0
71124.08	Miscellaneous	2025 ALPS Composite	ALPS Waste Stream Evaluation	01/12/2026
		DAW 2024 NOV	Dry Active Waste (DAW) Waste Stream Evaluation	01/27/2026
	Procedures	RP-121	Radioactive Material Control	0
		RP-412	Radioactive Shipping Procedure	2
		RP-414	Scaling Factors	0
	Shipping Records	2026-RM-004	SCO Shipping Package	01/14/2026
		2026-RW-002	ALPS Resin Shipment Package	01/20/2026
		2026-RW-014	Dry Active Waste Shipping Package	03/03/2026
	71152	Miscellaneous	PLP-SRTSP-BAG	Buildings and Grounds
PLP-SRTSP-CHM			Chemical Addition	0
PLP-SRTSP-DTA			Datalogger	0
PLP-SRTSP-EHC			Turbine Electrohydraulic Control	0
PLP-SRTSP-MFW			Main Feedwater	0
PLP-SRTSP-RPS			Reactor Protection System	0
71152A	Corrective Action Documents	25012715	RP Waste Shipment Exceeded DOT Limits	09/25/2025
		26012619	CV-3025 Not Operating as Expected	03/13/2026
		26012629	Temporary Instrument Air Dryer Lost Power	03/13/2026
		26012630	Temporary IAS Compressor Dryer Lost Power	03/13/2026
		26012690	Long Term Impact of Water Intrusion in Air Systems	03/16/2026
		26013325	Need to Update 2 Operator Licenses	04/01/2026
		26014029	Failure to report changing medical conditions	04/20/2026
		26015169	Air Operated Valves Identified for Inspection of Moisture Intrusion in Air Lines	05/20/2026
	Corrective Action Documents	25015623	NRC ID: Improper Extension of Adverse CR Actions	12/30/2025

Inspection Procedure	Type	Designation	Description or Title	Revision or Date
	Resulting from Inspection			
	Engineering Changes	93403	Fiber Backbone Upgrade Project - AQ	0
	Procedures	AOP-37	Loss of Instrument Air	3
		OM-126	Management and Oversight of Supplemental Personnel	1
		PI-001	Corrective Action Program	0
		PI-001	Corrective Action Program	0
		SOP-19	Instrument Air System	78
		WM-107	Emergent Issues Process	0
71153	Procedures	RA-108	Event Notification and Reporting	1